The 401(k): A Powerful Tool for Retirement

Simply stated, a 401(k) is a program to help you grow your wealth and save specifically for retirement. In America, the 401(k) is the most common and effective way that people save for retirement. However, a survey conducted by ValuePenguin found that 63% of Americans could not sufficiently explain what a 401(k) is[50]—which leads them to not taking full advantage of its benefits. If your employer offers a 401(k) program with a matching contribution, don't pass up that opportunity.

A **401(k)** is a retirement account that is sponsored by your employer, and that offers many benefits. Not all employers offer a 401(k), but don't worry—there are other retirement options, which we'll cover later in the chapter. When you begin a new job, your employer (or their human resources representative who handles paperwork for employees) will ask if you want to participate in the 401(k), if they offer one. You say, "Absolutely, I do." They will then ask you how much money from each paycheck you would like to contribute. Even if you can only afford a small amount, put something down. Your employer will then take whatever amount you have chosen out of each paycheck and put it into a special retirement account. In that account, you can choose how the money is invested, probably in an index fund, mutual fund, or some combination of the two. You keep contributing money into that account for 40 years, and then you walk away with loads of cash. That's it.

Now that you understand the basics, let's get a bit more into the details that make 401(k)s so appealing:

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50 Kathleen Elkins, "Nearly Two-Thirds of Americans Are Confused About This Simple Way to Save for Retirement," *Make It*, CNBC, March 7, 2019, https://www.cnbc.com/2019/03/07/63-percent-of-americans-are-confused-about-401k-retirement-plans.html.